Grievance and Disciplinary Procedure

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Summary. Sets out how Northstar Systems employees raise workplace grievances through a three-level process, and how the company handles misconduct through a disciplinary ladder with show-cause notices, investigation, appeals, timelines, confidentiality and protection against retaliation.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This procedure explains two connected processes at Northstar Systems Private Limited. The grievance process lets any employee raise a workplace concern and have it resolved fairly and within fixed timelines. The disciplinary process lets the company respond to misconduct or serious performance failure in a consistent, documented and proportionate way. Both processes are designed around the same principles: natural justice, confidentiality, timeliness and protection from retaliation.

The procedure applies to all employees in Bengaluru, Mumbai and remote locations, including employees on probation. Complaints of sexual harassment are handled under the separate POSH policy and Internal Committee (IC) process, not under this procedure; see HR-008. Whistleblower concerns about fraud or legal violations follow the ethics reporting channel described in HR-009. Performance concerns that are not misconduct are handled through the appraisal process and the Performance Improvement Plan (PIP), not through the disciplinary ladder, unless the performance failure is wilful or repeated after a PIP.

Legal and regulatory references in this document are illustrative; to be verified by Legal before external use. Nothing here limits statutory rights of employees.

2. Definitions

- **Grievance**: a work-related concern or complaint raised by an employee, for example about a manager's behaviour, workload fairness, pay or leave treatment, working conditions, discrimination, or application of policy.
- **Misconduct**: behaviour that breaches the Code of Conduct or policy, such as repeated unexplained absence, falsifying records, breach of confidentiality, abusive behaviour, policy violation, fraud, or harassment.
- **HR Business Partner (HRBP)**: the HR representative assigned to the employee's department.

- **Grievance Committee**: a panel chaired by a senior HR leader with two members from outside the employee's department.
- **Show-cause notice**: a written notice asking an employee to explain, within a stated time, why disciplinary action should not be taken.
- **Investigating Officer (IO)**: the person appointed to examine facts of a misconduct allegation, usually from HR Employee Relations with a senior manager from outside the employee's team where needed.
- **Working day**: a day on which Northstar offices are open, excluding weekends and company holidays listed in HR-015.

3. Roles and Responsibilities

- **Employee**: raises concerns in good faith, cooperates with enquiries, replies to notices within the stated time and maintains confidentiality.
- **Reporting manager**: Level 1 of the grievance process; listens, tries to resolve the concern and records the discussion in NorthPeople.
- **HR Business Partner**: Level 2 of the grievance process and the first adviser to managers on disciplinary matters.
- **Employee Relations Manager**: owner of this procedure; assigns Investigating Officers, maintains case files and reports trends to the Chief People Officer.
- **Grievance Committee**: Level 3 of the grievance process; its decision is final within the grievance process, subject to appeal in disciplinary matters as described in section 9.
- **Department head**: approves written warnings and final written warnings recommended by managers, after HR review.
- **Chief People Officer**: hears appeals, approves terminations and approves exceptions to timelines.
- **General Counsel**: advises on legal exposure in serious cases and on any matter that may lead to external proceedings.

4. Principles

1. **Fairness**: no decision is taken without hearing the employee concerned and considering the evidence.
2. **Confidentiality**: case details are shared only with those who need them. Everyone involved must keep the matter confidential.
3. **Timeliness**: every stage has a time limit. Delay must be explained in writing to the employee.
4. **Proportionality**: the action must match the seriousness of the conduct and the employee's record.
5. **No retaliation**: no employee may be penalised, threatened or excluded for raising a concern in good faith or for assisting an enquiry. Retaliation is itself misconduct and is treated as serious.
6. **Documentation**: every step is recorded in NorthPeople case notes, with evidence stored in the restricted HR case folder.

5. Grievance Procedure

5.1 How to raise a grievance

An employee may raise a grievance verbally or in writing. The employee should state what happened, when, who was involved, what outcome is expected and what steps have already been taken. A grievance may also be submitted through the HR Helpdesk at

hr-helpdesk@northstar-systems.example. Anonymous concerns are accepted, but they may be harder to resolve because the company cannot ask follow-up questions.

5.2 The three levels

Level	Who handles it	Time to resolve	Next step if unresolved
Level 1	Reporting manager	5 working days	Employee may move to Level 2
Level 2	HR Business Partner	10 working days	Employee may move to Level 3
Level 3	Grievance Committee	15 working days	Decision is final for the grievance

Time limits run from the date the grievance is received at that level. The employee may go directly to Level 2 if the concern is about the reporting manager, and directly to Level 3 if it concerns the HR Business Partner or a senior leader.

5.3 Level 1 steps

1 The reporting manager meets the employee within 2 working days of receiving the concern.
2 The manager discusses options, takes any action within the manager's authority and confirms the outcome to the employee in writing within 5 working days.
3 The manager records the case summary in NorthPeople. If the concern involves discrimination, harassment or a legal matter, the manager must inform the HR Business Partner at once and must not attempt to resolve it alone.

5.4 Level 2 steps

1 The HR Business Partner acknowledges the grievance within 2 working days.
2 The HRBP meets the employee, reviews the facts, speaks with the manager and any witnesses and may propose mediation.
3 The HRBP issues a written decision within 10 working days with reasons and, where appropriate, corrective actions with owners and dates.

5.5 Level 3 steps

1 The Employee Relations Manager convenes the Grievance Committee within 5 working days of the escalation.
2 The committee hears the employee, may call the manager, HRBP and witnesses and reviews documents.
3 The committee issues a written decision within 15 working days. The decision includes findings, reasoning, actions and any follow-up review date.

Example: A Support Lead in Mumbai (Band B4) believes that her overtime on a weekend hypercare shift was not credited as compensatory off. She raises it with her manager on Monday. The manager checks NorthPeople and confirms the error within 3 working days, and compensatory off is credited. The grievance closes at Level 1 within the 5 working day limit.

Example: A Software Engineer in Bengaluru (Band B2) reports that his reporting manager repeatedly changes his appraisal inputs without discussion. Because the concern is about the manager, he goes directly to Level 2. The HRBP reviews the appraisal history, meets both parties and decides within 10 working days that the appraisal discussion should be repeated with a skip-level manager present.

5.6 Outcomes and follow-up

A grievance may be upheld, partly upheld or not upheld. In every case the employee receives written reasons. The HRBP follows up 30 days after closure to confirm that agreed actions are done and that no retaliation has occurred. An employee who is not satisfied with the Level 3 decision may write to the Chief People Officer within 7 calendar days to point out a procedural error; the Chief People Officer may order a re-hearing but does not re-decide facts without new evidence.

6. Disciplinary Procedure

6.1 When it applies

The disciplinary procedure applies when facts suggest an employee has breached the Code of Conduct or a policy. The manager must inform the HR Business Partner before taking any formal step. Minor issues, such as an isolated late arrival, are first handled through coaching and informal feedback documented in NorthPeople.

6.2 The disciplinary ladder

The ladder has four steps. Normally, action starts at the step that fits the seriousness of the conduct and employees are not required to move through every step in order. Gross misconduct may lead directly to a final written warning or termination.

Step	Action	Typical use	Approver
1	Verbal warning	First minor breach, for example repeated late marks beyond grace or missed policy training	Reporting manager with HRBP awareness
2	Written warning	Repeat of a minor breach, or a single moderate breach, for example misuse of company devices	Department head after HR review
3	Final written warning	Serious breach or repeat after a written warning, for example unauthorised sharing of Confidential data	Department head and Employee Relations Manager
4	Termination	Gross misconduct such as fraud, theft, serious harassment, violence, or a repeat after a final written warning	Chief People Officer, after legal review

A warning stays on the employee's file for 12 months from the date of issue for the purposes of progression on the ladder, unless the warning states a longer period for serious cases (not exceeding 24 months). It does not mean the record is deleted; it only stops counting for escalation after that period.

6.3 Investigation

1. The manager or HR documents the allegation and sends it to the Employee Relations Manager within 2 working days of becoming aware.
2. The Employee Relations Manager decides whether a formal investigation is needed. If so, an Investigating Officer who has no connection with the people involved is appointed.
3. The IO collects documents, system logs and statements. Evidence from systems such as NorthWatch, NorthID or email must be requested through the Security Desk with a written approval, in line with the monitoring rules in SEC-015.
4. The IO normally completes the fact-finding within 15 working days and submits a written report to the Employee Relations Manager. Complex cases may be extended with the Chief People Officer's written approval, and the employee is told about the extension.

5 The company may place the employee on paid administrative leave during the investigation if there is a risk to evidence, to other employees or to business systems. Administrative leave is not a penalty and is reviewed every 10 working days.

6.4 Show-cause notice

When the investigation finds a prima facie case, HR issues a written show-cause notice signed by the department head. The notice must state the allegation with dates and facts, quote the policy clause involved, attach the evidence the company will rely on and set the deadline for reply. The employee must reply within 3 working days of receiving the notice. A reasonable extension of up to 2 more working days may be granted on a written request that explains the reason. If the employee does not reply, the company may decide on the evidence available and records that the opportunity was given.

6.5 Hearing and decision

1 After the reply, HR may call the employee to a personal hearing with the HR Business Partner and a manager from outside the employee's team. The employee may bring a colleague from within Northstar as a supporter. The supporter may advise but may not speak for the employee.
2 The hearing is minuted and the minutes are shared with the employee within 2 working days for corrections.
3 The decision maker considers the show-cause reply, hearing minutes, the IO report and the employee's record. The decision is issued in writing within 10 working days of the hearing, stating findings, reasoning, the action taken and the right to appeal.

Example: An Engineering team lead (Band B4) is found to have shared a customer's production data extract in a personal email account. The Security Desk confirms the facts. The IO's report is ready in 12 working days. A show-cause notice follows, and the employee replies within 3 working days, admitting the mistake and showing no further use of the data. The department head and Employee Relations Manager issue a final written warning and mandatory data handling retraining. A termination was considered but not chosen because there was no intent to harm and the data was deleted within hours.

Example: A Procurement analyst (Band B3) is found to have created a vendor record in NorthBuy for a company owned by a relative and approved purchase orders without disclosure. After investigation, the show-cause reply does not disprove the facts. The Chief People Officer, after legal review, terminates the employment for gross misconduct. The matter is also reported to the Finance Controller for recovery review.

7. Protection, Support and Interim Measures

- Employees who raise concerns in good faith are protected from retaliation. Retaliation includes demotion, poor allocation of work, exclusion from meetings, negative appraisal comments linked to the complaint and threats.
- A complaint that turns out to be unfounded is not misconduct if it was made in good faith. A complaint made knowingly false or with malice is misconduct and may be treated under the ladder.
- The employee may use the Employee Assistance Programme at any time during a case; see HR-013.

- HR may recommend interim measures such as a change of reporting line, seating or working arrangements to protect the people involved. These measures are not findings and must be reviewed at least every 10 working days.
- Employees on notice period may still raise grievances, and unresolved disciplinary matters do not end automatically on resignation. The company may complete the process before the last working day or record the outcome in the final settlement file.

8. Records and Confidentiality

All case records are kept in the restricted HR case folder and treated as Restricted data. Only the Employee Relations Manager, the assigned HRBP, the decision maker, General Counsel and the Chief People Officer may access them. Employee records are retained for 7 years after exit. Unless a legal hold applies, warnings expire for escalation purposes as set out in section 6.2 but remain in the file for the retention period. Managers must not discuss cases in group chats or share case documents outside the secure HR folder.

9. Appeals

An employee who disagrees with a written warning, a final written warning or a termination may appeal to the Chief People Officer. The appeal must be made in writing within 7 calendar days of receiving the decision and must state the grounds, such as a procedural error, new evidence, bias or disproportionate action. The Chief People Officer, or a delegate who was not involved in the case, decides the appeal within 15 working days. The appeal outcome is final within the company. A verbal warning is not appealable but the employee may add a written comment to the file.

The action taken stays in effect during the appeal, except that a termination decision is not executed until the appeal window of 7 calendar days has passed or the appeal outcome is communicated, whichever is earlier, unless the employee poses an immediate risk. Pay continues during that period for terminations for non-gross misconduct.

10. Exceptions and Edge Cases

- **Employee on probation**: the grievance process applies in full. For misconduct, the company may end probation under the notice terms in the employment letter, but a show-cause notice should still be issued where the reason is misconduct.
- **Employee on leave**: timelines pause while the employee is on approved medical or statutory leave, with the pause recorded in the case notes.
- **Manager conflict of interest**: if the manager or HRBP is involved in the facts, the matter moves to the next level automatically.
- **Criminal allegations**: where facts suggest a criminal offence, HR must consult General Counsel before any step and the company may report the matter to authorities.
- **Security incidents**: if the conduct involves a security incident, the Security Desk and the Incident Response Lead handle the technical response in parallel with HR.
- **Customer-related misconduct**: misconduct that harms a customer is escalated to the VP Customer Success and General Counsel.
- **Remote employees**: hearings may be held by video call, and documents are exchanged through NorthPeople to keep a record.

11. Frequently Asked Questions

Can I skip Level 1 if my complaint is about my manager? Yes. You may go directly to Level 2 with the HR Business Partner.

How long do I have to reply to a show-cause notice? 3 working days from receipt, with a possible extension of up to 2 working days on a written request.

Can my manager give me a final written warning alone? No. A final written warning needs the department head and the Employee Relations Manager.

12. Related Documents

POSH complaints follow HR-008. Ethics and whistleblower reporting follow HR-009. The Code of Conduct and general employment terms are in HR-002. Working day definitions and holidays are in HR-015. Monitoring and evidence access for investigations follow SEC-015.

13. Revision History

Version	Date	Change
4.0	2024-11-05	Added Grievance Committee composition and appeal route
4.1	2025-08-12	Clarified administrative leave and evidence request rules
4.2	2026-01-17	Updated reply timelines, investigation steps and records section